ZUDIO - FASHION FOR EVERYONE

ANALYSING THE 4P'S OF ZUDIO

GROUP -2

Submitted by –

Syed Mohammed Ismail Ahmed (24A6HP502)

Chitranjan Kumar (24A6HP513)

Pratham Tomar (24A6HP505)

Sakshi Shukla (24A6HP510)

Sagnik Chakraborty (24A6HP501)

Submitted to –

Prof. Dhananjay Singh

SEPTEMBER 11, 2024

IMT HYDRABAD

TABLE CONTENT

1. INTRODUCTION

2. PRODUCT MIX

3. PRICING STRATEGY

4. DISTRIBUTION

5. PROMOTION

6. CONCLUSION

Introduction

Zudio is part of the Tata Group, which has grown rapidly in the Indian retail fashion industry by offering trendy and affordable clothing. Zudio is focused on providing affordable and trendy clothing that serves the mass market; it targets the low and mid-price segments. Zudio retail distribution prioritises physical stores in high footfall, like malls and high streets. Zudio is rapidly expanding its store network, opening stores in tier 2 and tier 3 cities in addition to metro cities. Zudio aims to attract the mass-market segment. Its primary customers are middle-income groups.

Product Mix

The product mix of Zudio can be analyzed using four dimensions:

1. Breadth
2. Length
3. Depth
4. Consistency

Breadth (Product Categories or Lines - The number of distinct product lines a company offers. Zudio's product lines include:

1. Men's Wear
2. Women's Wear
3. Kids' Wear
4. Footwear
5. Accessories
6. Limited Home Decor items

Length (Total Number of Products - The total number of items across all product lines in Zudio's stores can be vast, as they offer multiple styles in each category. Here's a breakdown based on assumptions:

Product Category	Sub Category
Men's Wear	T-shirts, shirts, jeans, trousers, jackets, hoodies, innerwear
Women's Wear	Tops, dresses, ethnic wear, jeans, leggings
Kids' Wear	Clothing for infants to teens, including boys' and girls' collections
Footwear	Casual, sports, and sandals for men, women, and kids
Accessories	Bags, jewellery, belts, and sunglasses
Total length	**400 products across all categories.**

Depth (Variations within Each Product Line - This refers to the number of variations (styles, colours, sizes) offered within each product category.

The depth varies, with many styles and colour options per category, particularly in core fashion items.

Product Line	Variations within Each Product Line):
Men's T-shirts	30-50 styles, 3-4 sizes, 6-8 colours per style
Women's Kurtas	40-50 styles, 4 sizes, 5-7 colours per style
Kids' Clothing	15-20 styles per age group, 3 sizes, 4-6 colors per style
Footwear	10-15 styles per category (men, women, kids), 5-7 colors per style

Consistency (Similarity across Product Lines) - Zudio maintains a high consistency in its product mix: All products focus on trendy, fast-fashion designs at affordable prices. The materials, quality, and target market (price-conscious, fashion-driven consumers) are consistent across men's, women's, kids' wear, and accessories.

LENGTH	BREADTH	DEPTH	CONSISTENCY
Men wear	100+	30-50 styles	-
Women wear	120+	40-50 styles	-
Kids wear	80+	15-20 styles	-
Footwear	40+	10-15 styles	-
Accessories	60+	-	-

Pricing Strategy -

Zudio has a penetrating pricing strategy, which means the organisation sells its products at low prices compared to competitors. It works in markets where price sensitivity is high.

1. **Objective:** Increasing market share by providing very competitive prices.

2. **Impact:** Zudio appeals to a wide demographic with lower prices, from young adults and college students to low-middle-income families looking for fashion-forward clothing without premium pricing.

3. **Price Segmentation:** Zudio follows tiered Pricing based on product categories that include. Basic Products start from meager prices, starting from ₹ 99-299. Seasonal or

trendy pieces could be moderately priced but still affordable compared to the competition. This pricing strategy will enable the company to retain a broad appeal yet stay within the budget expectations of the target consumers.

4. **Competitive Pricing:** Zudio's Pricing is designed to be competitive against other value fashion brands like Max, Trends (Reliance), and Pantaloons. They consistently monitor the market to ensure their prices remain lower or comparable to those of these brands while delivering similar or better quality.

5. **Promotional Pricing:** Occasional discount pricing by Zudio is reverted for major shopping seasons like Diwali, end-of-season sales, and festive promotions.
   - **Flat Discounts** - Zudio has 20-50% flat discounts during sales periods selected for items.
   - **Buy More, Save More** - They bundle pricing-3 products for a fixed price, like 3 T-shirts for ₹999-to encourage more bulk purchases.

6. **Psychological Pricing:** Zudio indulges in psychological Pricing. It prices its products slightly below a rounded figure: ₹299, ₹499, and ₹999. The intent is to create value perception at an affordable price while retaining profitability.

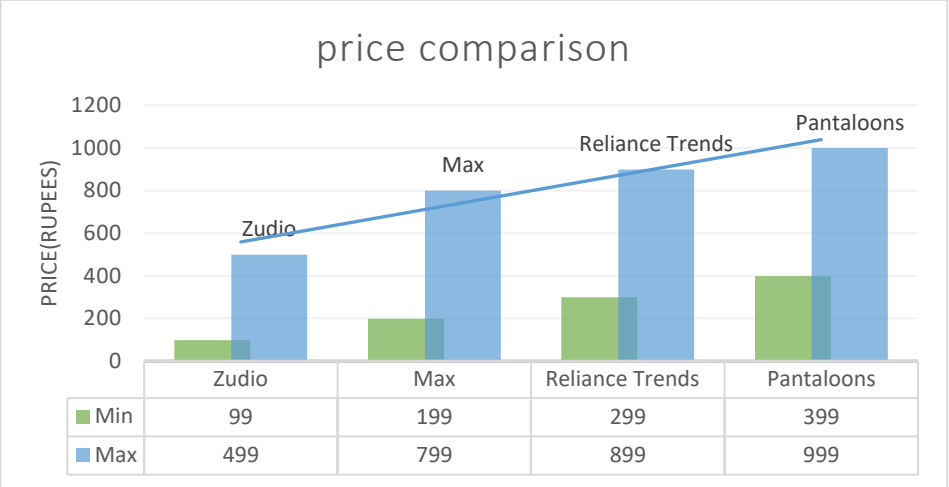
Price Elasticity

Because the target market is rather sensitive, Zudio's commodities usually have high price elasticity. A slight increase in price can drastically increase the sales volume; hence, the company ensures that its Pricing is consistent and cheap.

A comparison with competitors based on price points:

Company	Product category	Pricing
Zudio	T-Shirts	99-499
Max	T-Shirts	199-799
Reliance	T-Shirts	299-899
Pantaloons	T-Shirts	399-999

This also reflects Zudio's aggressive pricing strategy, which is always lower than the value segment competition.



Distribution

A good distribution plan means that the products should be available at the right place, at the right time, and at the right cost. Fast fashion depends on high stock turnover and reaching the end user before the trend terminates.

Zudio's Retail Network -

1. **Stronger Distribution Backbone Expansion of stores**

   ZUDIO heavily depends on its reach through a wide brick-and-mortar outlet structure to reach out to its customers. It has a pan-India physical retail network that effectively taps into growing consumers who are increasingly fashion-conscious and hungry for affordable options with style.

2. **Franchise-owned, company-operated (FOCO) model**

   Zudio is based on a FOCO model, which lowers operation costs and increases revenue per square foot.

3. **Strategic Store Locations**

   Zudio places its stores at every high-action point, such as malls, commercial centres, and shopping districts, to reach the most audiences. The advantage of opening the store in the mall is that the traffic is already there and Zudio leverages the mall's customer base.

4. **Supply Chain Management**

   The cost-efficient sourcing of raw materials, coupled with keeping relations with the manufacturers, is the supply chain strategy of Zudio. Zudio sources directly from factories in India and overseas, cutting middlemen out of the loop and reducing costs.

5. Centralized Distribution Centers

Zudio uses centralised distribution hubs nationwide to facilitate its products' quick and efficient distribution. These hubs collect products from manufacturers and supply them to retail outlets according to the real-time inventory.

Promotion

Promotion Element details Example Purpose/Outcome

Method	Details	Example	Outcome
Social media & digital marketing	regularly posts new collections on Instagram and Facebook.	Zudio posted its "Festive Collection" on Instagram with images	It creates brand awareness for young audiences
Influencer Marketing	Collaboration with fashion influencers	Influencer creates a post "Zudio Summer Look" showcasing outfits	The influencers' followers will bring in new audiences.
Targeted Advertising	Online Ads-Instagram, Facebook ads, and Google Ads-on target reaching young	Users of Instagram in Delhi and Mumbai started to find Zudio's "Winter Collection" popping up in their feeds.	This will help reach the relevant audience and improve click-through rates and store visits.
In-Store Promotions	Extends limited-time sales in-store and online to coincide with peak shopping periods in festivals or the year-end.	"End of Season Sale," Zudio offered a flat 20% off all items at its stores, which were communicated via in-store banners and social media	Boosts store footfall and improve sales during key shopping seasons.
Membership Programs	Loyalty programs sign up customers for special sales and discounts	loyalty members of Zudio were given an early email invite to a "Diwali Preview Sale" much before the sale went live.	This retains regular customers and helps make more and more visits to improve lifetime customer value.
Personalised Offers	Targeted email or SMS are to be sent with offers that customers will like or have shopped frequently.	Tapped an SMS stating "₹200 off on your next purchase" to customers who shopped from Zudio the previous month	This helps retain customers and brings them back for more shopping.

Conclusion –

Zudio's objective is to provide trendy and affordable clothes that serve the mass market because Zudio's target audience is lower and middle-income customers. Zudio consistently focuses on physical store expansion. It has a strong distribution network. Its pricing strategy gives it an edge over other competitors. However, these products have some negative aspects, such as Zudio's compromising product quality to make it more affordable. But with this price range, we get the best trendy clothes.